Product Strategy

NETFLIX Ads

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Discussion Agenda

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   - Why Netflix Ads
   - Opportunity sizing
2. Strategy
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4. Solution Deep Dive
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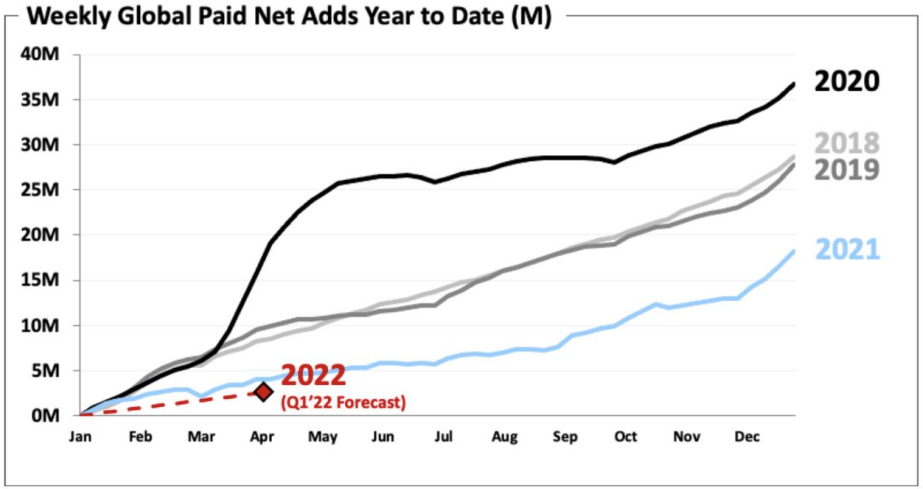
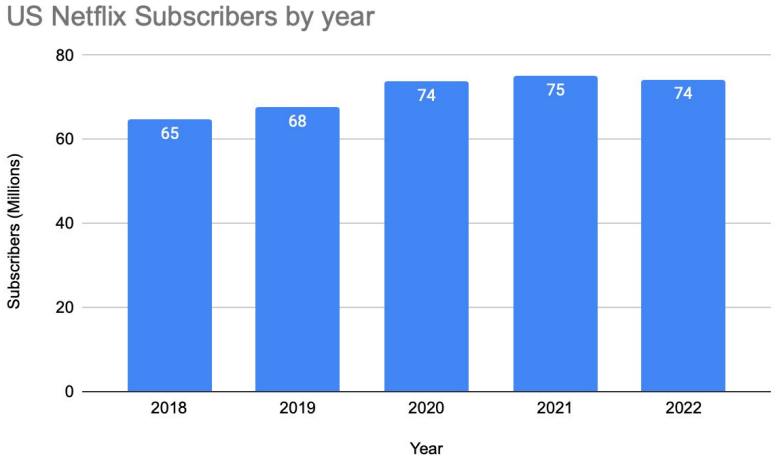
   - Prioritisation
5. Success Metrics
6. Risks and Challenges

Problem Statement

How might we revive user growth and scale the business profitably from here?



Source: Netflix Q4'21 shareholder letter



Source: Statista

Significant reduction in user growth globally - from 20% Y-o-Y to single digit.

Growth declining in the key US market that accounts for ~33% of global subscribers.

Why Netflix Ads Supported Tier

User growth: Accomplish Netflix's mission of "Entertain the world, one fan at a time" via subscriber base expansion by reviving growth both in the short term and long term.

Better monetisation: New benefit (no ads) for premium users willing to pay more for the higher tiers. Monetise price sensitive users who would otherwise churn.

Strengthen the flywheel: Unique content → greater user attention → sell user attention → plough back ads revenue to create new unique content.

Fight competition: Neutralise threats of ad supported services from Prime Video, Disney+, Hulu, HBO Max, Discovery+, Peacock, Paramount+ that undercut Netflix's cheapest ad free tier and eat into Netflix's growth.

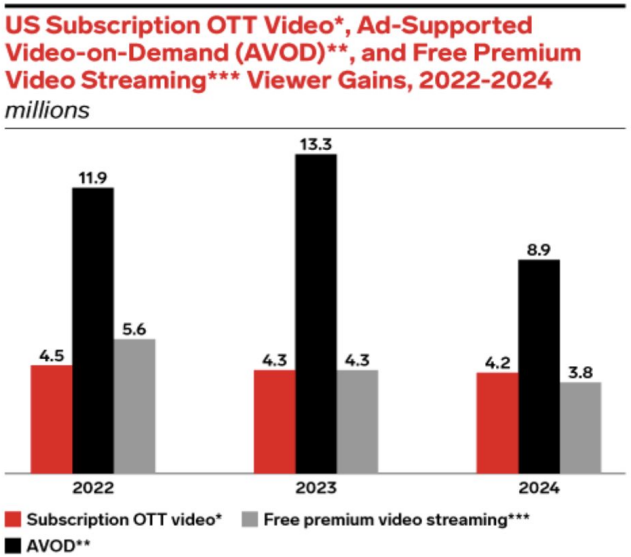
Netflix Ads - Why Now

Per Deloitte Media Trends Insights, 47% of users across GenX, Millennials, GenZ have either cancelled a paid subscription, or switched to lower priced subscription/ ad supported version, or migrated to a free ad supported streaming service.

	US	UK	Germany	Brazil	Japan
12 minutes of ads per hour/no monthly fee	34	44	41	34	55
Six minutes of ads per hour/monthly fee ($6/£5/€6/R$20/¥750)	25	17	21	26	15
No ad/monthly fee ($12/£10/€12/R$40/¥1,500)	41	39	38	40	30

Source: Deloitte Insights. Numbers represent %

Over 60% of users in key global markets prefer ads supported streaming at no or low cost.



Source: eMarketer

Ads supported streaming predicted to be >2x the opportunity to acquire new users compared to no ads tier.

Opportunity Sizing - Year 1, Video Ads

Netflix US viewers (2022)		75 M
Password sharing viewers	45%	34 M
Potential churners	5%	4 M
New users	10%	8 M

Year 1 - Ads Supported Tier Users (% of respective cohort)		
Password sharing	66%	22 M
Potential churners	40%	2 M
New Users	25%	2 M
Reactivated Users	10%	225 K

DAUs as a % of MAUs	40%	
Ads Supported Tier MAU		26 M
Ads Supported Tier DAU		10 M

Time spent watching Netflix/ day (mins)		80
Netflix originals view time/ day (mins)	60%	48
Ad view time/ day (mins)	10%	5

15s inventory per month		6 B
30s inventory per month		3 B
Fill rate	70%	

Video Ads CPM		
15s		$35
30s		$70

Split of annual video revenue (USD)		
15s	65%	$1 B
30s	35%	$613 M
Annual video ads revenue potential (USD)		**$1.8B**

Ads revenue per user per month		$6
Recommended per month subscription price		$7
Gross ads tier monthly ARPU		**$13**

Netflix Ads - Value Proposition and Differentiation

	Value Proposition	Differentiators
For Users	Low cost alternative to premium content.	Exclusive original content that is highly engaging.
For Advertisers	Premium TV platform to reach the GenX, Millennials, and GenZ - over 70% of whom spend the most time consuming video on streaming services.	With ~10% of total TV viewing share, Netflix is the #1 streaming service.
	Favorable demographic mix with 33% millennials, 26% GenX, 22% Baby Boomers, and 19% GenZ.	- Firm grasp on user attention as 70% of Netflix subscribers binge watch. - 9 out of 10 most googled TV shows in 2022 were on Netflix.
	Even gender split with 51% female and 49% male.	

Data Source: Deloitte Media Trends Insights Report.

Netflix Ads - Product Goals

Goals

- **SUBSCRIBERS** - Engage users with delightful ad experiences without significantly degrading the viewing experience.
- **ADVERTISERS** - Connect brands with the relevant audiences to accomplish the desired marketing outcomes at high ROI.
- **NETFLIX** - Revive user growth; monetise user attention.

Key Ideas

Easily **CREATE** new objective oriented campaigns

GROW reach for advertisers by discovering new and most relevant target audiences

CONTEXTUALIZE ads to maximize consumer engagement

OPTIMIZE delivery and usage of supply to safeguard the consumer experience and advertiser value

MEASURE critical user interactions with ads to provide actionable insights for optimising ad campaigns

REPORT impact of marketing campaigns transparently, providing accountability on advertiser spend

Netflix Ads v1 Product Solution Snapshot

Advertiser Segments & Categories	• Enterprise (incl D2C Internet), Agency • Retail, Entertainment and Media, FMCG, Auto, Travel & Leisure.
Use Cases	• Branding/ awareness • Consideration
Ad Formats & Placements	• Slate (incl QR code) 5s, Video non-skippable 15s, 30s • TV app - Pre-roll, Mid-roll
Pricing and Ops	• CPM • Managed service
Audiences and Targeting	• Content affinity • Demo, Device, Genre, Show
Measurement and Reporting	• 3P Viewability verification, Brand lift 3P surveys • Reach, Impressions, Frequency
Ad serving tech	• 3P ads manager + ad server (DV 360, Trade Desk). Client side ad insertion • In house - measurement sdk, UI + player changes
Ad load	• 6 mins per hour

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High Level Roadmap

Slate, Pre-roll, mid-roll

CPM, QR codes

Masthead, Theme ads

Sponsorship, Pause ad CPC, Mobile app

MVP

In house
- A/B test on 5% US traffic
- No targeting, freq cap
- Free impressions from premium pilot advertisers.
- Ads stitched into video manifest file for select top original shows and movies.

Yr1 **25M MAU, $1.5 B**

In house
- 3P measurement sdk, UI + player changes
- Ad markers in the content
- Content affinity audiences
- Ad ops

3P
- Ads manager, ad decisioning, serving
- Viewability, reporting

More details on previous slide

Yr2 **35M MAU, $2.5 B**

In house
- Custom Audiences (via device graph)
- Reporting
- Creative design team

3P
- Programmatic Private Marketplace

Yr3+ **45M MAU, $3.5 B**

In house
- Ads manager, ad decisioning, serving
- Dynamic in-video product placement (ex. NFL, EPL)
- Self serve reporting
- Ranking, ML (ex. pCTR)
- Cohort based optimisations ex. Freq cap

3P
- Programmatic Guaranteed

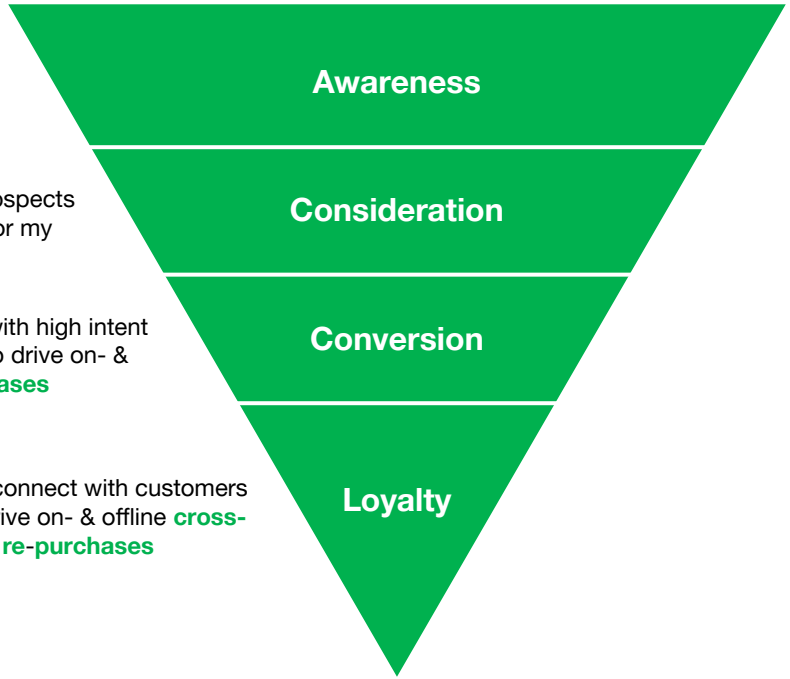
Advertiser Use Cases

I want to connect with prospects at scale to drive **awareness** for my brand or product

I want to (re)connect with prospects at scale to drive **interest** for my products

I want to (re)connect with high intent prospects at scale to drive on- & offline **purchases**

I want to (re)connect with customers at scale to drive on- & offline **cross- and re-purchases**



- Reach, Impressions
- Brand lift, product recall
- CPM

- Qualified leads, visits
- CPVC, CPL

- Orders, Revenue
- CPO, ROAS

- Orders, Revenue, LTV
- CPO, ROAS

Advertiser Segments

	Characteristics	Segment Size	Impact	Fit with Netflix Ads
Enterprise	• Large marketing budgets for branding, top of the funnel objectives. • Well trained and equipped marketing teams • Key categories: FMCG, Media, Auto, Financial services, Pharma	Small	High	High
Media Agency	• Aggregators of demand across enterprise and upper end of mid-market for branding dollars. • Sophisticated media planning, creative, and measurement/ analytics teams.	Small	High	High
D2C Internet (Large)	• Similar to the enterprise segment. • Key categories: Tech, Online retail, Consumer electronics	Small	High	High
Mid Market	• Upper end of the segment is similar to enterprise. Example - Hilton, Hyatt, Steve Madden. • Rest of the segment is resembles SMB/ long tail in their characteristics.	Medium	Medium/ Low	Medium/ Low
SMB/ Long Tail	• Low marketing budget that is heavily skewed towards performance marketing (conversions, orders, AOV, CPO, ROAS etc). • Relatively weak creative chops.	Large	Low	Low

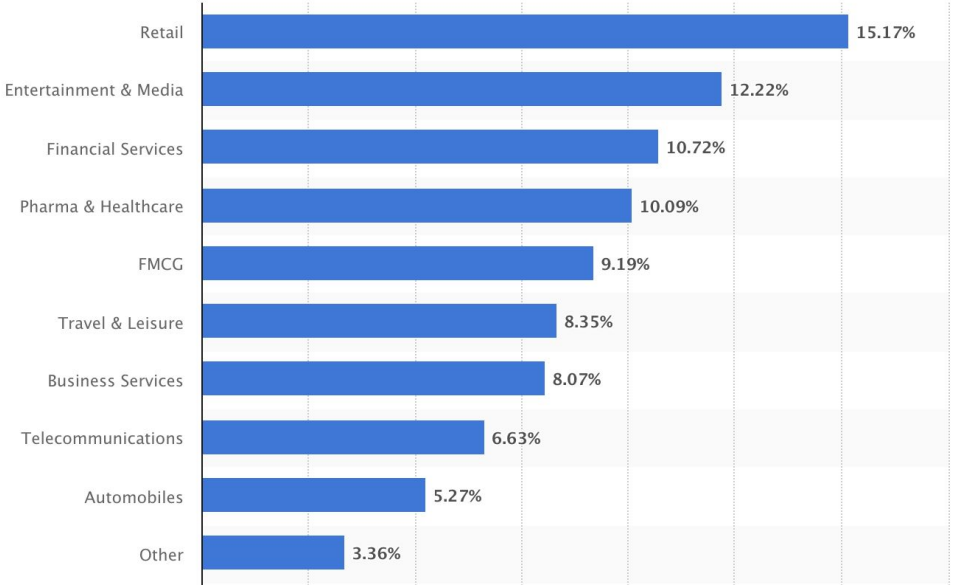
Advertiser Segment Category - Priority

Now

- Retail, Entertainment and Media, FMCG, Auto, Travel & Leisure.
- These top ad spending categories are well suited to show ads that are contextual to the content on Netflix.

Later

- Financial services, Pharma - given the regulatory scrutiny around these categories.

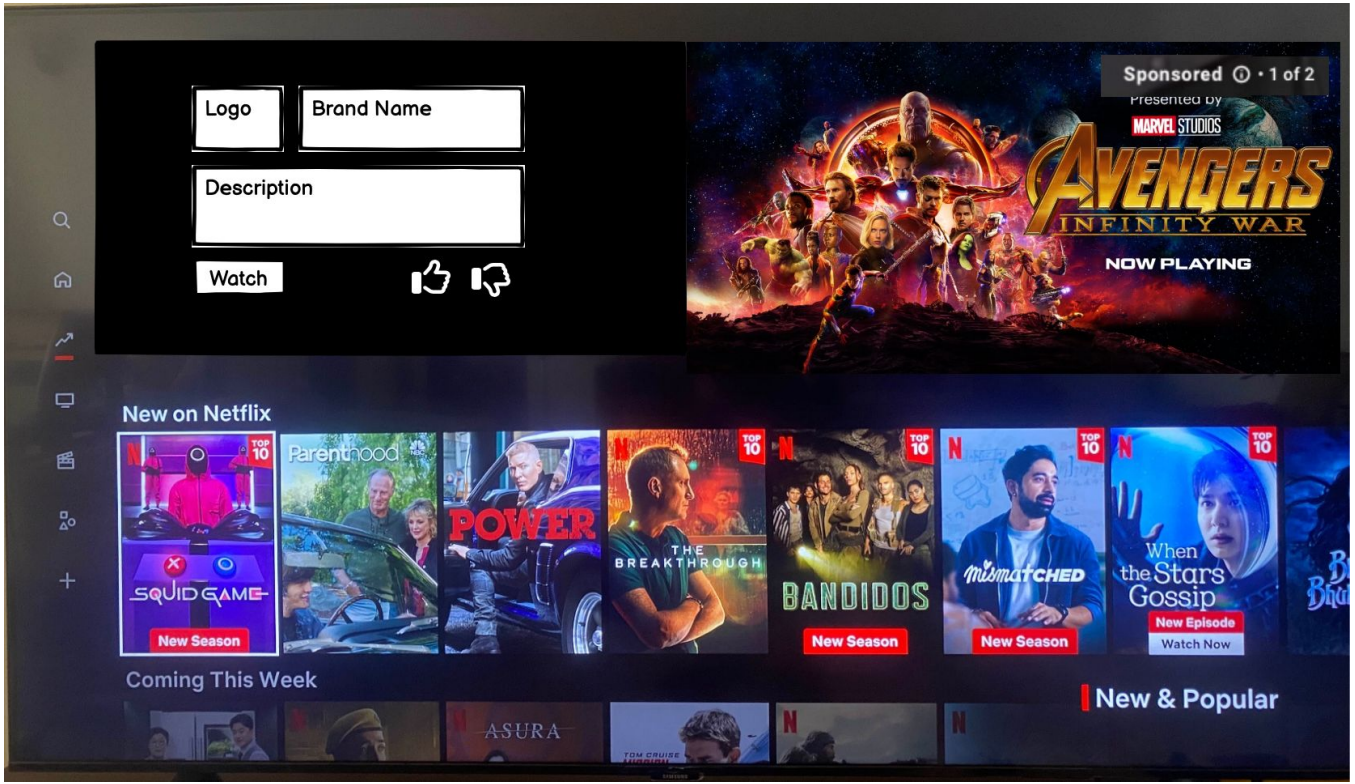


Distribution of digital ad spending in the US in 2022, by industry.
Source: Statista

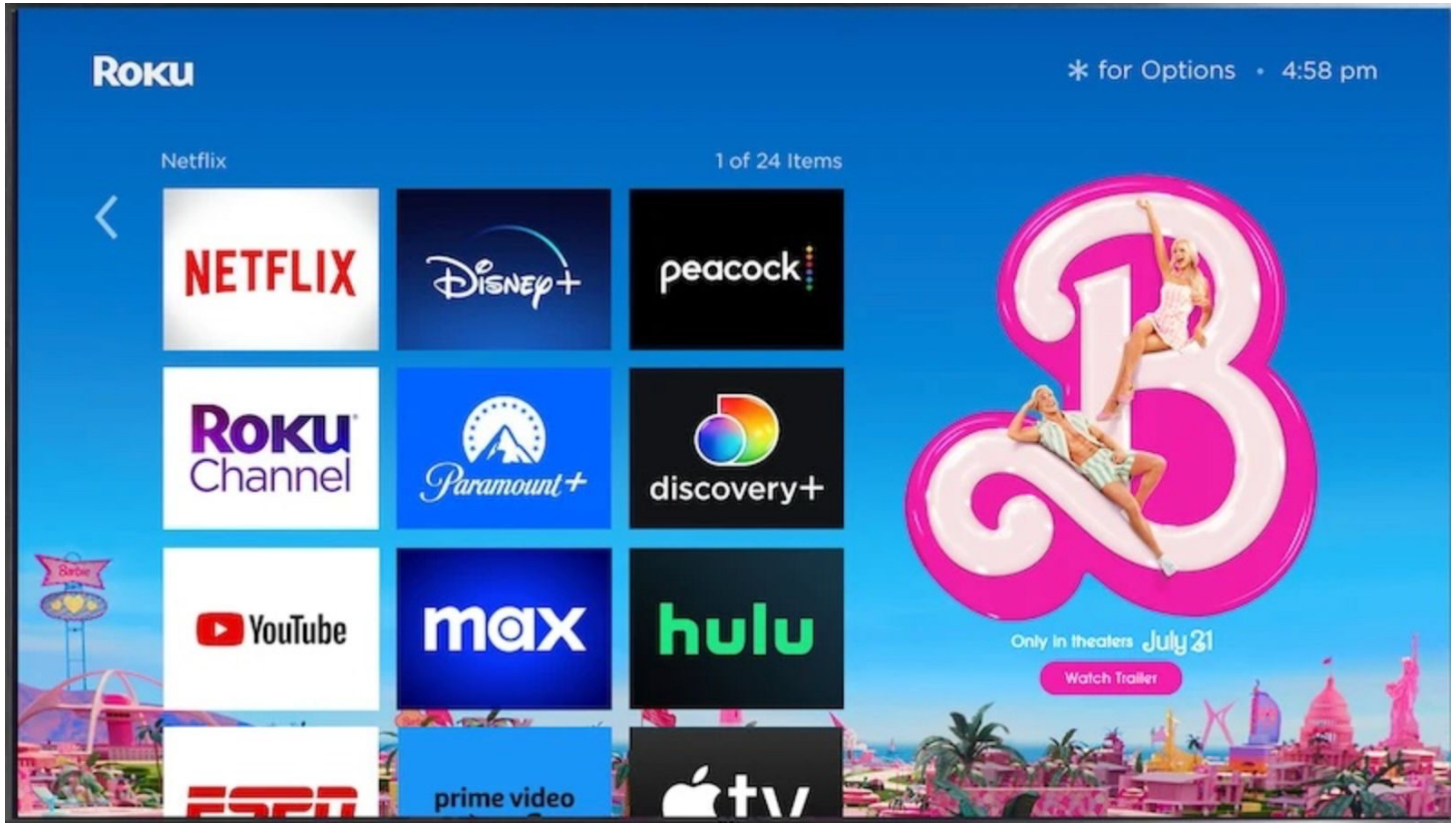
Ad Formats

	Description	User Delight	Advertiser Impact	Dev Effort	Priority
Slate	• Pre-roll • 5s • CPM	High	High	Small/ Medium	P0
Video	• Masthead, Pre-roll, mid-roll • 2x**15s** or 1x**30s** in an ad pod • CPM • Non-skippable, User feedback	High	High	Medium	P0
Display	• Masthead, Theme • CPM	High/ Medium	High	High	P1
Display	• Pause Ads • CPM, CPC	Medium	Medium/ High	High	P2
Display	• Show Sponsorship • CPM	Low	Medium/ Low	High	P3

Masthead - Display + Video Companion

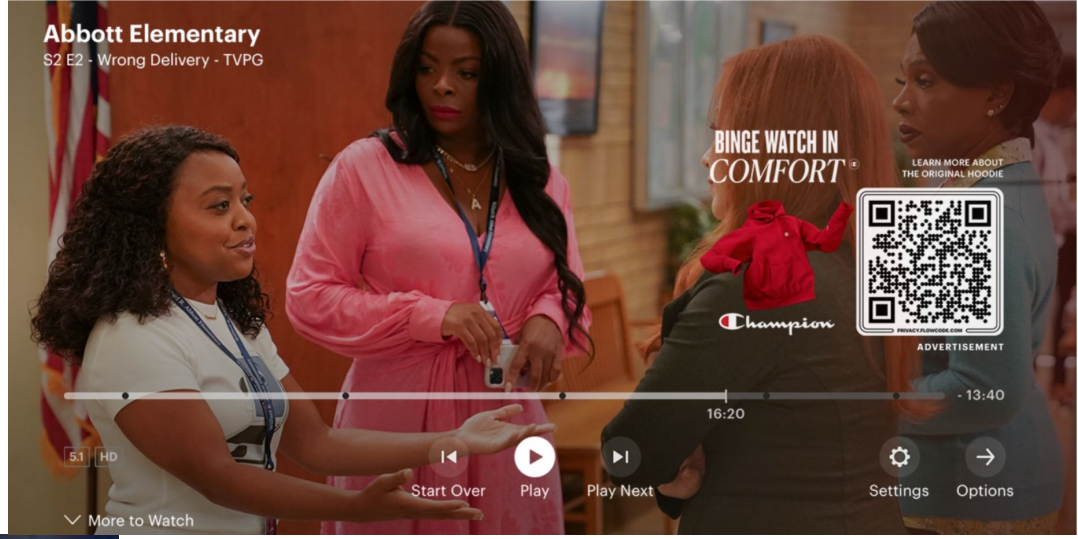


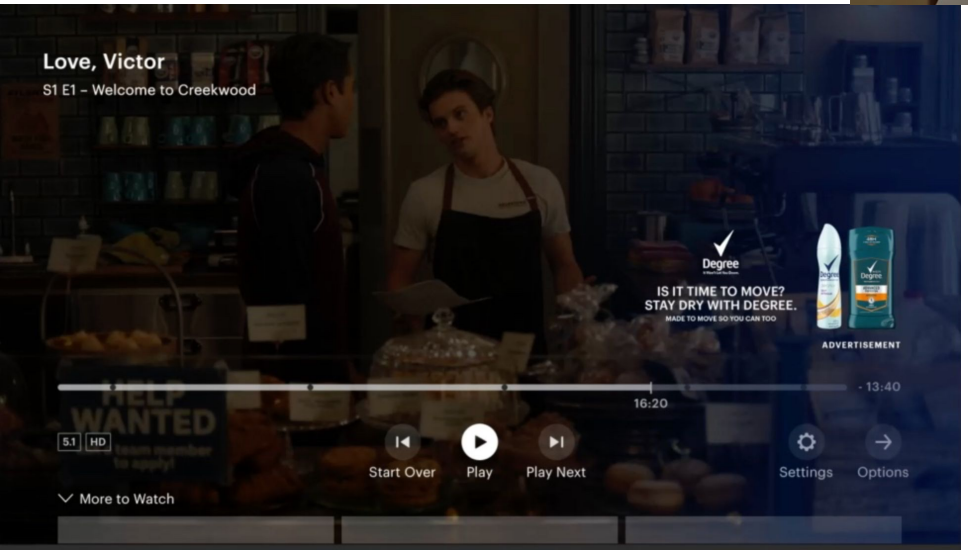
Theme - Display



Sponsorship - Display

Pause Ad - Display





Netflix Ads Supported Tier - Success Metrics

Goals	Metrics	Counter Metrics
• **CONSUMERS** - Engage users with delightful ad experiences without significantly degrading the viewing experience.	• DAUs, WAUs, MAUs - P0 • # of ads impressions/ user/ day - P0 • QR code scan rate - P1 • Click to video rate - P2	• Time spent watching non-ads content/ user/ day • % of ads disliked or marked not relevant
• **ADVERTISERS** - Connect brands with the relevant audiences to accomplish the desired marketing outcomes at high ROI.	• # of advertisers and Q-o-Q growth - P0 • Ad spend/ advertiser/ month - P0	• Advertiser churn • Return on ad spend
• **NETFLIX** - Revive user growth; monetise user attention.	• # of new users and M-o-M growth - P0 • Ads revenue/ user - P1 • Ads fill rate (demand density, budget, targeting) - P0	• D30 retention • Subscriber churn rate

Risks, Challenges and Trade-offs

Risk or Challenge	Mitigation
Cold start problem of ad inventory and scale to trigger advertiser demand.	Spend on marketing the ads supported tier; target the password sharing non-paying viewers (34M) and potential churners.
Risk of low demand density resulting in repetitive ads for the user.	1/ Attractive one time introductory pricing; develop strong agency relationship to aggregate demand across multiple advertisers. 2/ In house design team to reduce friction of custom creative asset creation.
Challenging to prove ROAS as the conversion happens off of the platform.	Enable view-through-attribution by integrating with MMPs such as AppsFlyer, Adjust.
Not feasible to run an in-app brand lift survey on the TV.	Partner with recognised industry partners such as Nielsen or Kantar to conduct brand lift or product recall surveys.

Trade Offs

- 3P ad tech stack - Sacrifice margin in the short term for faster GTM and low upfront fixed cost to test the ads product market fit.
- Ad relevance vs revenue trade off - develop levers to manage this trade off and balance relevance and revenue depending on user cohort or business need.

Thank You!

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